The Batman Society

In Gotham City, where skyscrapers rise into a perpetual haze of rain and fog, where crime and corruption plague the streets, everyone lives in fear. But in this city, on the brinks of chaos, a beacon of hope remains. Batman. We all know and love the story of Bruce Wayne — billionaire chairman of Wayne Enterprise by day and righteous vigilante by night. Thinking back to all the villains he saved the city from however, you will find that he created many of them, or more specifically, Wayne Enterprise did. Wayne Enterprise is the source of his immense wealth and the backbone of Gotham City's economy, and while it can be credited for its innovation and philanthropic endeavors, its unethical experiments, resource misuse, corporate greed and exacerbation of systemic inequalities drove many into villainy. Sound familiar?

Today, we live in a "Batman Society" where society's wealthiest elites are characterized as saviors who uplift the poor, empower the marginalized, and advocate for the disenfranchised. But this narrative fails to acknowledge the unequal distribution of power and the exploitative systems and regulations that enable them to maintain their domination over society and exacerbate this power inequality.

Almost every billionaire in our society can replace Batman in his story with their multinational conglomerate and private foundations. Bill Gates, the co-founder of Microsoft, established the Bill and Melinda Gates Foundation to develop new technologies for developing countries that suffer from the lack of medical resources, infrastructure and social injustices. Mark Zuckerberg, the co-founder of Facebook, set up the Chan Zuckerberg Initiative (CZI) which focuses on medical research and education in the US. Jack Ma, the co-founder of Alibaba Group, created the Jack Ma Foundation to improve education in rural China. The list goes on. These efforts are undeniably impactful: over the past fifty years, the Bill and Melinda Gates

Foundation, partnered with other international bodies such as WHO and UNICEF to save 154 million lives through their global immunization efforts; and CZI's educational tools, classroom practices and learning resources now reach more than 5 million students across the US (UNICEF, 2024; Chan Zuckerberg Initiative, n.d.).

Philanthropy, an innovation that directly translates to "love for humanity" in Greek, has always been depicted as a force for good, an embodiment of altruism and selflessness in human nature. So, the rise in philanthropy throughout history should be celebrated. Over the past two decades, the total amount of charitable giving almost tripled from $203 billion in 2000 (when adjusted to inflation, the amount is equivalent to approximately $372 billion today) to over $557 billion in 2024 (Lewin, 2001; Indiana University Indianapolis, 2024). However, over a similar timeframe, the number of people that donated decreased significantly: in 2000, roughly twothirds of American households contributed to charitable organizations while in 2018, this number reduced to less than half (Indiana University Lilly Family School of Philanthropy, 2021). While there are several explanations including the decrease in religious practices and inflation, the most impactful reason is philanthropy grows increasingly reliant on a small elite group of ultra-rich individuals (Kim, 2022). In fact, almost 38% of global charitable giving is given by individuals with a net worth of $30 million or more (Goldberg, 2024).

Relying on the rich to give back to society should not be a concern — money is still money, regardless of whether it came from a middle-income household or a multimillionaire entrepreneur. In fact, it can be perceived positively: the more donations the rich give, the less burden everyone else carries to achieve social change. However, the type of philanthropy the average people engage in, such as, donating to charities, giving away old clothes, volunteering at a homeless shelter, is very different from the philanthropy conducted by wealthy entrepreneurs.

The term “philanthrocapitalism” was popularized in 2008 by The Economist U.S. business editor, Matthew Bishop and executive director of a non-profit, Michael Green in their book “Philanthrocapitalism: How Giving Can Save the World.” The authors advocated for a new approach to philanthropy where entrepreneurs to apply the same skills and strategies that made their businesses successful to their philanthropic efforts. They define billionaire philanthropists as “hyper-agents” with three characteristics: they have substantial financial resources, they are willing to take risks, and they have a powerful influence in society that allows them to draw attention to issues that may otherwise be dismissed (Manhattan Institute, 2012). All of this allows them to tackle social issues more effectively than traditional methods.

Bishop and Green were not the first to propose this concept. Similar concepts were described before by John D Rockefeller with “venture philanthropy” and other academic researchers with “entrepreneurial giving” (Godfrey, 2010). During the Gilded Age, Andrew Carnegie (1889), one of the richest men in America at the time, proposed in his essay “The Gospel of Wealth” that the rich are obligated to help the poor because they are “doing for them better than they would or could do for themselves”. The phrasing of this statement implies that the rich are superior to the average citizen socially and intellectually. This mindset continues to be a concern today which explains why this approach to philanthropy received a lot of criticism. Indeed, it has been proven on multiple occasions that the altruism of billionaire philanthropists is simply a façade to hide their ulterior motives.

In 2019, Robert F. Smith, CEO of Vista Equity Partners, announced during his commencement address at Morehouse College that he funded a grant totaling $34 million to “liberate” nearly 400 graduates from their student loans (Morehouse College, 2021). Soon after, the grant was extended to alleviate debt burdens of the family members of those graduates too.

Then, a year later, Smith admitted to evading over $43 million in taxes over a decade and concealing over $200 million in capital gains income over a fifteen-year period (BuyOuts, 2020).

While Smith's case may appear extreme, it does depict a major reason why billionaires engage in philanthropy: charitable donations provide significant tax benefits, allowing billionaires to shield substantial portions of their wealth. There are various tax loopholes that allow billionaires to save millions every year under the guise of doing good for society. This is best illustrated through the example of Nick Woodman, the founder of GoPro. When GoPro went public in 2014, Woodman's net worth was $1.3 billion (Forbes, 2024). At its peak, Woodman gave $500 million worth of stock to a donor advised fund (DAF) within the Silicon Valley Community Foundation which earned him a tax write-off in that amount (Forbes, 2024). But soon, GoPro stocks plummeted and therefore the value of his donations declined too. However, he still got his tax write-off.

DAFs are funds that allow donors to make large contributions upfront, claim immediate tax deductions, and retain control over how and when the funds are disbursed. Recently, they have further amplified the financial appeal of philanthropy. Between 2012 and 2017, the contributions towards DAFs increased by 86% and DAFs represented 10% of all individual giving to charity n the United States in 2022 (Childress, 2024). Moreover, the total value of assets held in DAFs skyrocketed from $70 billion in 2014 to over $251 billion in 2023. However, DAFs have been criticized for allowing donors to delay actual charitable giving, prioritizing financial advantages over immediate social impact (Mitendorf, 2024).

Returning to the example of Rober F. Smith, as a private equity executive, he enjoys additional tax benefits from carried interest tax, a tax loophole where his compensation can be classified as capital gains which is taxed at 20% as opposed to regular income tax at the 37% top

rate (Chen, 2024). According to the Penn Wharton Budget Model published by the University of Pennsylvania (2022), partially closing this loophole can raised up to $13.1 billion over a decade.

Many billionaires also engage with philanthropic activities, intending to clean their reputation. The Sackler family, owners of Purdue Pharma, is the most infamous example of this. Initially marketed for terminally ill cancer patients in severe pain, their opioid painkiller OxyContin was generating nearly $1 billion in the annual sales of 2000 (Van Zee, 2009). Over time, however, OxyContin became a central player in the US opioid epidemic, which resulted in over 42,000 deaths in 2016 alone (Crow, 2018). Amidst the accusations that their aggressive marketing tactics is fueling one of the worst public health epidemics in modern history, the Sacklers reinvented their public image by donating significant portions of their wealth to arts and sciences institutions including famous museums and galleries such as the Metropolitan Museum of Art in New York and the Louvre in Paris.

However, the key question remains unanswered: regardless of the intentions of these wealthy entrepreneurs, they are still doing some good to society which is better than an alternate world where their money just sits there. But that is a misconception. The truth is, the money would not remain untouched in their pockets, it would be given to the government through taxes. Currently, charitable tax deductions are disproportionately advantageous to the wealthy, as these deductions can apply to non-cash assets like real estate, stock options, and capital gains—assets that ordinary individuals typically do not possess. In some cases, these deductions can reduce taxable income by as much as 74% (Collins, 2021) which implies two things. Firstly, the government will have 74% less to spend that would have been invested into improving your well-being and livelihood in the city. Or secondly, that 74% will come from the rest of the population instead.

Private foundations distribute many of their funds towards their investment portfolios that often prioritize financial returns over ethics and morals. US law mandates that private foundations distribute at least 5% of their endowments annually to charitable causes, the remaining 95% often resides in investment portfolios (Farish, 2020). These portfolios frequently include investments in profitable industries like fossil fuels, weapons manufacturing, and processed foods — sectors criticized for fueling the biggest social issues we are facing. Take the example of the Bill and Melinda Gates Foundation (BMGF), the foundation directly contradicts their positive, worldwide impact on education and healthcare, by investing in the exact firms that cause problems in education and healthcare. In 2016, Global Justice Now, a UK-based organization that campaigns against global injustices by producing research on related topics, revealed that BMGF had $29 billion worth of investments in corporate stocks and bonds in 2014. Some of which is in mining companies and chemical pharmaceutical corporations that have been criticized for their involvement in labor abuses, tax avoidance and environmental damage. It also provided $34 million to the World Cocoa Foundation that represents companies such as Nestle and Mars. The same companies that faced allegations of child labor and exploitation. This paradox highlights how private foundations often perpetuate the very systemic issues they claim to address, raising questions about the true motives behind philanthropy and its broader societal implications.

Investment portfolios only scratch the surface of a bigger issue with accountability that exists in the Batman Society. In the best-case scenario, where philanthropic activities are wellintentioned, it can still run into many problems. In September 2010, The Chan Zuckerberg Institute donated $100 million to public schools in Newark, New Jersey. The initiative was intended to reform the struggling school system through changes like expanding charter schools,

implementing performance-based teacher evaluations, and closing underperforming schools (Harvard University, 2017). This initiative yielded some positive results: by 2017, over one-third of Newark students attended charter schools, which generally performed better than district schools; high school graduation rate increased from 63% in 2011 to over 77% in 2017 (Pinkerton & Matthews, 2019). However, it was not considered a successful reform because the reforms were driven by outside consultants and local officials, rather than incorporating input from community members, students, or teachers. This was reflected in the distribution of funds that was broken down and analyzed in the book "The Prize: Who's in Charge of America's Schools?" written by Dale Russakoff, a former Washington Post education reporter. Russakoff concludes that despite the $200 million financial backing from Zuckerberg and numerous matching donors, the majority of the money was not going into school supplies and infrastructure as promised, instead, $57.6 million went to charter schools, $48.3 million went to a new union agreement and $21 million went to high-priced consultants.

Anand Giridharadas, a former columnist for The New York Times and the author of "Winners Take All", argues that billionaire philanthropy is anti-democratic as foundations are private entities and are therefore governed, not by the public, but themselves. Thus, they essentially create a hegemony where they decide what society's priorities are and use their own the social, financial and political influence to change the structure of the world. When making these decisions, they, like most humans do, have their personal agenda. John Godfrey (2010), a fundraising consultant, conducted research to evaluate the various theories regarding elite philanthropy throughout history, including the motivators to donate. The paper points out that numerous past studies identified the self-serving nature of elite philanthropy where individuals were motivated by causes closely related to their surroundings, community and environment.

Like Zuckerberg, Bill Gates is a huge advocate for charter schools. But in his home state, Washington, voters had rejected to legalize charter schools, three times from 1996 to 2004. But in 2012, by a very narrow margin, the initiative was approved with the financial support of Gates along with other wealthy philanthropists like Alice Walton and Jeff Bezos. Gates continued to support charter schools, investing more than $475 million to create more than 1,200 high schools (Landry, n.d.). However, as charter schools are funded publicly and should not receive private donations, in 2013, the Supreme Court ruled it "unconstitutional" (Higgins, 2015). Gates then funded lawmakers to pass a new bill that allowed the survival of charter schools (Higgins, 2016). This story exemplifies the power imbalance in our society: a single billionaire had the capability to override the decision of millions of voters and the government to implement what he believed was the best for society.

In the Batman Society, while the efforts of the billionaire philanthropists may appear to address pressing societal issues, they often serve to reinforce existing power structures and distract from the systemic harm that enabled such wealth accumulation in the first place. As Anand Giridharadas argues in "Winners Take All", real and sustainable change requires the loss of power and privilege, shifting the focus from individual acts of charity to collective problemsolving through the government and the decision of the citizens. In his words, "in the public sphere through the tools of government and in the trenches of civil society."

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